

Global Listings at GIFT IFSC

Listing securities on a stock exchange provides companies liquidity, fair valuation, and transparency in transactions. Companies consider various factors such as listing requirements, capital required, industry peers, visibility, market participants, timing, ongoing regulatory requirements and tax implications while choosing stock exchanges and jurisdictions for capital raising. This article elaborates on the robust legal and regulatory framework set up by the Government of India, in coordination with IFSCA and with the support of other financial regulators in India, for enabling the implementation and operationalisation of the Direct Listing Scheme.



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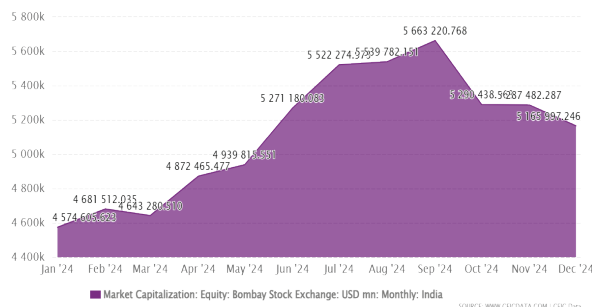
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INTRODUCTION

ACCESSING GLOBAL MARKETS

India's total stock market capitalization is more than \$ 5 trillion, making it the fourth largest in the world. This is a significant achievement, given that India was a relatively closed economy just a few decades ago. With highest number of domestic listed companies in the world, India offers both foreign individual investors and foreign institutional investors attractive investment opportunities.



Financial markets play a vital role in connecting investors with firms that need capital to finance their projects. Firms seek the lowest possible cost of capital because this allows them to undertake more projects that are financially viable and lead to greater investment. Equity capital from global investors is often cheaper than domestic sources because global investors are more diversified and have a wider range of investment options.

The world is more interconnected than ever before, and capital markets are no exception, as companies regularly look beyond their own borders/ jurisdictions for capital raising opportunities. Companies can access the global capital markets in a variety of ways, including cross-border listings, domestic listings with international placements, and private placements. Cross-border listings allow companies to raise capital on a foreign stock exchange, reaching a wider pool of investors and potentially gaining greater visibility.

Companies issue securities to raise capital, provide investors with liquid investments, and create wealth. Listing securities on a stock exchange is essential for achieving these goals, as it provides liquidity, fair valuation, and transparency in transactions. Companies are free to choose where to list their securities, but they typically list on a domestic exchange. However, a company may also choose to list on a foreign exchange, either as a substitute for or a supplement to domestic listing. Globally, many companies are interested in overseas listing because it has the potential to improve their ability to raise equity, expand their shareholder base, increase brand visibility, and enhance trading liquidity.

Companies have a growing number of options to choose from when considering stock exchanges and jurisdictions for capital raising. Here are some key factors to consider¹:

- Listing requirements:** Most exchanges have listing requirements, such as financial track record, assets, minimum number of shareholders, public float,

¹. Cross-Border Listings Guide by Baker McKenzie, 9th Edition

minimum share price, and capitalization. Some exchanges may be easier to qualify for than others, depending on the company's stage of development. For example, a company in the research and development phase may be more likely to meet the requirements of an exchange that offers assets test financial requirements rather than requiring a track record of profitability.

- b) **Capital required:** Some exchanges are better suited for large capital raisings due to their size and liquidity, while others may offer a more efficient way to raise smaller amounts of capital more quickly. Additionally, some exchanges have more flexible requirements for already-listed companies to raise additional capital, such as allowing flexibility in structuring and size of placements.
- c) **Industry peers:** Peer companies in the same industry may be more prevalent on certain exchanges, which can help attract investors and analysts with experience in the relevant sectors who can provide more accurate valuations. Similarly, investor appetite for the quality, stage of development, and risks associated with a particular product may vary from market to market.
- d) **Visibility:** A company with significant presence in a particular jurisdiction may find it beneficial to establish visibility and brand recognition by listing or raising capital in that jurisdiction. A company may also seek to increase its overall global prominence, which could factor into the cross-border capital raising decision.
- e) **Market participants:** Different exchanges may have market participants with different levels of understanding of the company's business. Investment banks and other market participants with a deep pool of research analysts and other investment professionals can help drive successful capital raising and a strong aftermarket.
- f) **Timing:** Executing a capital raising at the right time in the right market is an important factor for many companies to consider, especially during times of significant market volatility. For example, a company whose home jurisdiction is facing economic and market challenges may be better off listing and/or raising capital abroad to meet its financial needs at that particular time.
- g) **Ongoing regulatory requirements:** Ongoing exchange or securities regulator requirements, such as financial and other market disclosure reporting, may be more stringent on certain exchanges or in certain jurisdictions than others, which can result in significant compliance costs. It is important for

a company to determine early on whether it will be able to meet all ongoing regulatory obligations for a chosen exchange.

- h) **Tax implications:** The tax implications of listing on a particular exchange or raising capital in a particular jurisdiction are also considered.

Post economic liberalisation, Indian companies started to embrace Depository Receipts in early 1990s. It was facilitated by the Foreign Currency Convertible Bonds and Ordinary Shares (Through Depository Receipt Mechanism) Scheme, 1993. This scheme was particularly popular among companies in the new information technology sector. However, the wave of Depository Receipt – listings by Indian Companies did not last long, and a steep decline was observed in the subsequent years.

The International Financial Services Centre (IFSC) can play a significant role in further development of the financial markets and attracting capital flows in India. The Government of India established International Financial Services Centres Authority under the International Financial Services Centres Authority Act, 2019 passed by the Union Parliament.

The Foreign Exchange Management (Non-debt Instruments) Amendment Rules, 2024 and the Companies (Listing of Equity Shares in Permissible Jurisdictions) Rules, 2024 ("LEAP Rules") provide the framework for direct listing of equity shares by public Indian companies on the International Exchanges at GIFT IFSC.

The International Financial Services Centres Authority (IFSCA) has been established by the Government of India with a mandate to develop and regulate financial products, financial services, and financial institutions in the international financial services centres (IFSCs) in India. One of the primary goals of IFSCA is to position the IFSC as the gateway for India's international financial flows, both inbound and outbound.

In the last decade, India has witnessed remarkable transformation and has made rapid strides on multiple fronts. With robust policies and innovative

reforms coupled with a burgeoning entrepreneurial spirit, India has emerged as the world's fastest growing large economy and is all set to emerge as a powerhouse on the global economic stage. Under the *Viksit Bharat@2047*, the Government of India has set a goal to achieve the status of a developed and a prosperous country by 2047, the centenary year of its independence. However, in order to achieve such an ambitious target, it is important to attract global capital to meet the burgeoning needs for economic growth and development of India.

A standout feature in the India growth story has been the phenomenal rise of India's thriving and vibrant start-up ecosystem. These start-ups, fueled by a dynamic pool of talent and innovative ideas, are driving economic growth and employment generation. Sustained and concerted efforts by the Government have led to an exponential increase in the number of Department for Promotion of Industry and Internal Trade (DPIIT) recognised start-ups, which stands at 140,1761 as on June 24, 2024.

In the above context, it is therefore felt that it is an opportune time to consider further liberalizing the equity capital raising framework by allowing companies listed in India to access foreign capital by enabling them to directly list their equity shares on the IFSC exchanges.

DIRECT LISTING

The Hon'ble Union Minister of Finance and Corporate Affairs of India on July 28, 2023, announced the decision of Government of India to allow direct listing of equity shares of public Indian Companies on the international exchanges in the IFSC.

The Government of India, in coordination with IFSCA and with the support of other financial regulators in India, has created a robust legal and regulatory framework for enabling the implementation and operationalisation of the Direct Listing Scheme. The Government of India had on January 24, 2024, notified the Foreign Exchange Management (Non-debt Instruments) Amendment Rules, 2024² and the Companies (Listing of Equity Shares in Permissible Jurisdictions) Rules, 2024³ ("LEAP Rules") providing the framework for direct listing of equity shares by public Indian companies on the International Exchanges at GIFT IFSC.

The Direct Listing Scheme provides an overarching framework for the issuance and listing of equity shares of public Indian companies on international exchanges. Prior to this, Indian companies were not allowed to issue or list equity shares abroad. This policy initiative, to enable listing of Indian companies in GIFT IFSC, is expected to reshape the Indian capital market landscape and offer Indian companies, especially start-ups and companies in the sunrise and technology sectors, an alternative avenue to access global capital beyond the domestic exchanges.

The eligibility criteria for a public Indian company to list its equity shares on an international exchange in the IFSC has been provided in the Direct Listing Scheme provided under FEM (NDI) Rules, 2019 and the LEAP Rules. A public Indian company may issue equity shares or offer equity shares of existing shareholders, subject to prohibited activities, and sectoral caps prescribed in paragraph 2 and 3 of Schedule I of the FEM (NDI) Rules, 2019.

Further, equity shares listed in the IFSC shall be in dematerialized form and rank *pari passu* with equity shares listed on a recognised stock exchange in India. The non-resident investors have been permitted to purchase or sell equity shares of Indian companies listed on the stock exchanges in GIFT IFSC. More details in this regard can be accessed from the FAQs⁴ issued by Central Government on Direct listing.

RBI has also issued the necessary amendments in the Foreign Exchange Management (Foreign Currency Accounts by a person resident in India) Regulations, 2015⁵ and Foreign Exchange Management (Mode of Payment and Reporting of Non-Debt Instruments) Regulations, 2019⁶, thus providing the necessary enablers inter alia for maintaining foreign currency account by Indian issuer in the IFSC and remittance of proceeds of the issue from IFSC to India.

IFSCA has constituted a Standing Committee on Primary Markets (chaired by Shri Mohandas Pai) to advise IFSCA on the various policy and regulatory matters on a periodic basis to facilitate the development of a vibrant and robust ecosystem for primary markets in the IFSC.

IFSCA LISTING FRAMEWORK

Post the establishment of IFSCA, The development of capital markets in the IFSC has been a priority area of the IFSCA and towards this end, the Authority in its endeavor to develop a comprehensive and consistent regulatory framework based on global best practices with a special focus on ease of doing business, enacted an all-encompassing framework, it has issued a robust regulatory framework in respect of listing of financial products in the IFSC. The IFSCA (Listing) Regulations, 2024⁷ ("Listing Regulations") were notified and published in the Gazette of India on August 29, 2024. These regulations have been formulated with the dual objectives of ensuring ease of doing business and protecting the interests of investors in the capital market ecosystem.

- **Benchmarking with international best practices**

The Listing Regulations have been prepared, taking into consideration Principles relating to the issuer (Principles 16 - 18) of the IOSCO Objectives and Principles of Securities Regulation ("IOSCO Principles"), as mentioned below:

- Principle 16** - *There should be full, accurate and timely disclosure of financial results, risk and other information which is material to investors' decisions.*
- Principle 17** - *Holders of securities in a company should be treated in a fair and equitable manner; and*
- Principle 18** - *Accounting standards used by issuers to prepare financial statements should be of a high and internationally acceptable quality.*

The best practices followed in other jurisdictions including USA, UK, Hong Kong and Singapore have been studied while preparing the Regulations.

² <https://ifsc.gov.in/Document/Legal/foreign-exchange-management-nondebt-instruments-amendment-rules-2024-24012024061058.pdf>

³ <https://ifsc.gov.in/Document/Legal/the-companies-listing-of-equity-shares-in-permissible-jurisdictions-rules-202424012024061147.pdf>

⁴ <https://ifsc.gov.in/Viewer?Path=Document%2FLegal%2Ffaqs-issued-by-central-government-of-india-on-direct-listing-scheme24012024061356.pdf>

⁵ <https://ifsc.gov.in/Viewer?Path=Document%2FLegal%2Ffema-10r-3-30042024063324.pdf>

⁶ <https://ifsc.gov.in/Viewer?Path=Document%2FLegal%2Ffema-395-2-30042024063357.pdf>

⁷ <https://ifsc.gov.in/Viewer?Path=Document%2FLegal%2Fifsc-listing-regulations-202430082024045210.pdf>

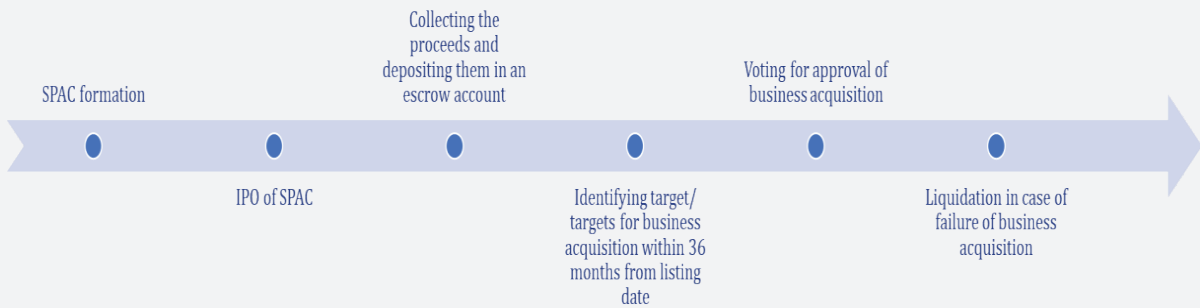
The Listing regulations provides a unified regulatory framework for listing of various financial products as illustrated below:

- (a) an initial public offer of specified securities by an unlisted entity;
- (b) a follow-on public offer of specified securities by a Listed entity;
- (c) an initial public offer of specified securities by a Special Purpose Acquisition Company;
- (d) a rights issue or a preferential issue or a qualified institutions placement of specified securities by a Listed Entity;
- (e) issuance and listing of depository receipts by an entity;
- (f) issue and listing of debt securities by an entity;
- (g) secondary listing of securities by an entity;
- (h) listing of Commercial Paper or Certificates of Deposit or other financial products as permitted by the Authority.

Listing Regulations enable companies incorporated in India, IFSC and FATF compliant foreign jurisdictions to list their securities.

The following are the salient features of Listing Regulations:

IPO in GIFT IFSC	
Eligibility Criteria	
Revenue Test	USD 20 million in last financial year or averaged over last three financial years (or)
Profit Test	Pre-tax profit of USD 1 million in last financial year or averaged over last three financial years (or)
Market Capitalisation Test	Post issue market capitalisation of USD 25 million.
Filing of Offer Document	
- Issuers required to file offer document with IFSCA for observations. - Issuers with issue size of USD 50 million or less exempted.	
Disclosures in Offer Document	
- Offer document shall contain all material disclosures which are true, correct and adequate to enable the investors to take an informed investment decision. - Financial information of the issuers shall not be older than 135 days. - Accounting Standards: IFRS or US GAAP or Ind AS or accounting standards as applicable in its jurisdiction of incorporation. (However, in case an issuer is preparing financial statements as per the accounting standards of its home jurisdiction, it shall be required to reconcile the same with IFRS). - Disclosures shall include: (a) Offer Document Summary (b) Risk factors (c) Introduction of Offer (d) General Information (e) Capital Structure (f) Particulars of the issue (g) underwriting (h) Tax implication for the investors (i) About the Issuer (j) Financial Statements (k) Material related party transactions (l) Legal and other information (m) Details of major group companies (n) Regulatory and other disclosures.	
Offer Timing	
Within a period of not more than 12 months from the date of issuance of observations by IFSCA.	
Offer Period	
IPO shall be kept open for at least one working day and not more than ten working day.	
Pricing	
The issuer shall determine pricing in consultation with the lead manager(s) and may be through a fixed price mechanism or through book building mechanism and the same shall be suitably disclosed in the offer document. (Provided that in case of listing of equity shares by a public Indian company, the issuer shall also comply with the requirements prescribed under schedule XI of the Foreign Exchange Management (Non-debt Instruments) Rules, 2019.)	
Minimum Public Offer	
Indian Company:	In accordance with the Securities Contracts (Regulation) Rules, 1957.
Foreign Company:	Minimum public offer as well as minimum public shareholding of 10 per cent of the post issue capital.

Underwriter	
May be underwritten (Adequate disclosures regarding underwriting arrangements shall be disclosed in the offer document).	
Anchor Investor	
Issuer may offer a portion of the issue size for subscription by anchor investors, subject to disclosures made in the offer document such as details of anchor investors, proposed maximum limit of allotment to anchor investors, lockup (if any), pricing etc.	
Monitoring Agency	
Issuer may choose to appoint a credit rating agency as a monitoring agency for monitoring the use of proceeds of the issue.	
Lockup	
Pre-issue shareholding of promoters and controlling shareholders of the issuer shall be locked up for a period of 180 days from the date of allotment in the initial public offer.	
Rights Issues, Preferential Issues and Qualified Institutions Placement	
A listed entity on a recognised stock exchange can issue rights issues, preferential issues or qualified institutions placement of specified securities, if such entity fulfils the requirements that may be specified by the recognised stock exchange(s) and IFSCA from time to time.	
Secondary Listing	
Framework enables secondary listing of the specified securities of the company on the stock exchanges in IFSC if the securities are already listed in an FATF compliant jurisdiction.	
Depository Receipts (DRs)	
IPOs of DRs	
Offer Size:	Minimum USD 700,000/-
Minimum Subscription:	Minimum USD 700,000/-
Secondary Listing is permitted.	
SPAC (Special Purpose Acquisition Company)	
- SPAC is a company which does not have any operating business and has been formed with the primary objective to affect a business combination. SPACs have witnessed a surge in recent years in some of the jurisdictions (particularly USA) and are seen as an alternative to traditional IPOs for many companies to raise funds. - The IFSCA has specified the regulatory framework for listing SPACs based on global best practices. The IFSCA's listing framework gives scope for innovation and at the same time has the necessary checks and balances to protect the interests of investors. The framework on SPACs is aimed at facilitating the start-up ecosystem by providing access to global capital.	
Process Flow of SPAC  <pre> graph LR A[SPAC formation] --> B[IPO of SPAC] B --> C[Collecting the proceeds and depositing them in an escrow account] C --> D[Identifying target/targets for business acquisition within 36 months from listing date] D --> E[Voting for approval of business acquisition] E --> F[Liquidation in case of failure of business acquisition] </pre>	
Regulatory Framework for Listing of SPAC	
IPOs	SPACs must raise at least \$50 million through an IPO.
Sponsors	SPAC sponsors must own at least 15% to 20% of the post-issue paid-up capital.
Escrow	100% Proceeds of the IPO to be kept in interest bearing escrow account controlled by an independent custodian.
Application Size	Minimum USD 100,000
Redemption	If a shareholder (other than sponsors) has voted against the proposed business combination, he shall have the redemption right for converting his securities into a pro rata portion of the aggregate amount held in the escrow account (net of taxes payable).
Timeline	Within the timeline disclosed in the offer document (not exceeding 36 months).

Debt Securities	
The regulatory framework facilitates listing of debt securities (including issuances under Medium Term Notes) on the recognized stock exchanges in IFSC. Debt securities may be offered on a standalone basis or through a series of issuances.	
Minimum subscription	The minimum subscription amount for an investor in case of private placement shall be disclosed in the offer document.
Credit Rating	The issuer shall obtain credit rating for its debt securities proposed to be listed on a recognised stock exchange from a credit rating agency registered either with IFSCA or with a regulator in a Foreign Jurisdiction. <i>Provided that</i> from April 01, 2025 or such other date as may be specified by IFSCA, the issuer shall obtain a credit rating from at least one credit rating agency registered with IFSCA and may obtain any additional credit rating(s) from a globally recognised rating agency which is registered with a regulator in a Foreign Jurisdiction. The issuer shall disclose details of the ratings, assigned to the debt securities, in the prospectus, shelf prospectus or information memorandum, as the case may be.
Public Issue	With respect to a public issue of debt securities on a recognised stock exchange, the issuer shall meet compliances such as appointment of trustee, creation of debenture redemption reserve etc. that may be specified by IFSCA or the recognised stock exchange(s).
Exempt Issuers	The recognised stock exchange(s) may, if satisfied on the basis of an application made by an issuer, relax the applicability of certain requirements, as the case may be, in accordance with its internal policy or guidelines, for the following issuers: (a) Supranational, multilateral or statutory institutions /organizations /agencies; (b) Entities whose securities are irrevocably guaranteed by a Sovereign; and (c) Any other entity as may be specified by IFSCA.
Environment, Social and Governance (ESG) Debt Securities	
IFSCA aims to make the IFSC a prominent centre for sustainable finance, supporting the needs of sustainable projects. Towards this end, the Listing Regulations have provisions towards listing of ESG debt securities such as green bonds, social bonds, sustainable bonds, and sustainability linked bonds.	
Green/ Social/ Sustainability/ Sustainability-linked Bonds	
Green bonds are targeted to finance projects or activities with positive environmental benefits. Proceeds from social bonds go towards social projects or activities to achieve positive social output or address a particular social issue. The social projects generally target communities such as those living below the poverty line, marginalized communities, migrants, unemployed, women, people with disabilities, and displaced persons. Sustainable bonds are raised to achieve a combination of green and social objectives. On the other hand, sustainability-linked bond issuers focus on improving their performance against specified Key Performing Indicators (KPIs) and link certain targets directly to the coupon paid to investors. Unlike green bonds, the use of proceeds can be for general corporate purposes also.	
Prescribed Principles/ Taxonomies	(a) <i>International Capital Market Association (ICMA) Principles / Guidelines;</i> (b) <i>Climate Bonds Standard;</i> (c) <i>ASEAN Standards;</i> (d) <i>European Union Standards;</i> (e) <i>Any framework or methodology specified by a competent authority or a financial sector regulator in India; or</i> (f) <i>Other international standards as may be permitted by IFSCA on case-by-case basis.</i>
External Independent Review	Mandatory
Additional Disclosures	- Allocation Report - Impact Report
Listing of other Financial Products	
Listing of Funds and Investment Trusts	
An issuer may list a fund or an investment trust on a recognised stock exchange in terms of IFSCA (Fund Management) Regulations, 2022.	
Listing of Commercial Papers (CPs)	
Eligible Issuers	Issuer meeting the eligibility criteria provided in the Listing Regulations (Except Indian issuers).

Conditions	✓ Depository: Demat form and held with a recognised depository in the IFSC or an international central securities depository. ✓ Maturity: Not less than seven days and not more than one year. ✓ Currency: Specified Foreign Currency.
Eligible Investors	The issuer may issue a CP to a person resident in India or to a person resident outside India (subject to FEMA).
Initial Disclosures	✓ Issuer Disclosures ✓ Issue related Disclosures
Continuous Disclosures	✓ Audited financial statements ✓ Material or price sensitive information ✓ Details of default/delays ✓ Revision in Credit Rating
Buyback	✓ Buyback of a CP, in full or part at prevailing market price; and offer shall be made to all investors. ✓ Buyback offer not to be made before 30 days from date of issuance.
Listing of Certificates of Deposit (CDs)	
Eligible Issuers	IFSC Banking Units (IBUs) only.
Conditions	✓ Depository: CDs will be in demat form and held with a recognised depository in the IFSC or an international central securities depository (ICSD).
Initial Disclosures	✓ Issuer Disclosures ✓ Issue related Disclosures
Continuous Disclosures	✓ Details such as expected default/ delay/ default in timely fulfilment of its payment obligations. ✓ Any Material event/ development/ action that may adversely affect the fulfilment of its payment obligations.
Listing Disclosures and Disclosure Requirements	
Companies with specified securities listed on stock exchanges	
• Disclosures: Material or Price Sensitive information, Board meetings, Shareholder meetings, Change in directors and KMPs, Resignation of auditors, Adverse opinions by auditors, Details of encumbrances, Shareholding Pattern, Financial Statements, Corporate Governance, Sustainability Reporting, Whistleblower Mechanism etc. • Reports: Annual report, quarterly financial results, sustainability report.	
Secondary Listing of specified securities	
• Maintain listing on home exchange. • Release disclosures on IFSC exchanges at the same time as they are released at its home exchange.	
Depository Receipts	
• Disclosures: Financial statements, material or price sensitive events, shareholding pattern, corporate governance, change of depository, corporate actions and other compliances, etc.	
Debt Securities	
• Disclosures: Material or Price Sensitive events, financial statements, annual report, revision in credit rating, etc.	

• Debt Listing Statistics

On the debt listing side, GIFT IFSC has emerged as a preferred destination, for Indian corporates and PSUs to list their foreign currency & masala bonds on the IFSC Exchanges.

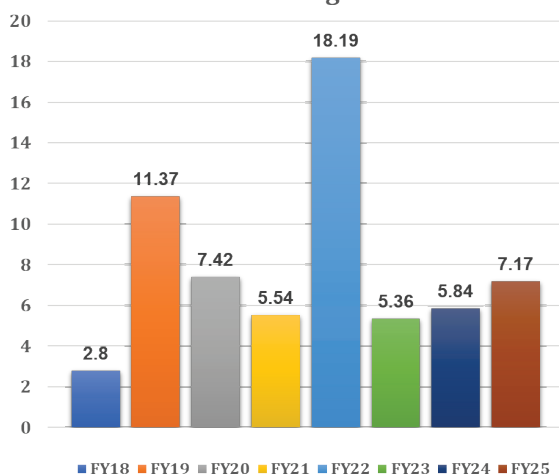
This is another example where GIFT IFSC has been successful in “Onshoring the Offshore” with Indian issuers preferring to now list their foreign currency

& masala bonds on the stock exchanges in the IFSC, instead of other global markets.

The cumulative debt listing at GIFT IFSC has picked up significantly during the last three years. At present, the withholding tax for debt securities listed on GIFT IFSC exchange is capped at 9%, which makes GIFT IFSC the most viable option for domestic corporates to raise foreign capital in India today.

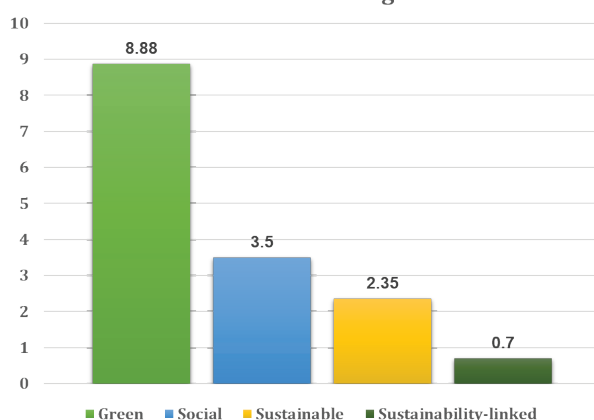
A total of over 150 bonds have been listed on the stock exchanges by around 50 issuers totaling USD 63.68 billion (as of 31st December, 2024).

Total Debt Listing in USD Bn



Green Financing Statistics

ESG Labelled Debt Listing in USD Bn



Sustainable Finance has been a priority area at global fora (*including G20 and IOSCO*). IFSCA aims to make the GIFT IFSC a prominent centre for sustainable finance, supporting the needs of sustainable projects. In this regard, IFSC has seen a total ESG-labelled debt listing of USD 15.43 Billion (as of 31st December, 2025).

According to report of Council on Energy Environment and Water, India would require over USD 10 trillion to achieve net-zero by 2070. Out of this USD 10 trillion, a large amount of money would need to be mobilized from international sources.

Taking cues from Govt. of India's Net-Zero targets, both PSU's and Private sector entities have publicly announced their Net-Zero target timelines.

Net-Zero Targets & Investments by Corporates

Name	Net-Zero Target Year	Committed Inv.
Key PSUs		
Indian Railways	2030	2.0 Lakh Cr.
IOCL	2046	4.0 Lakh Cr.
BPCL	2040	
HPCL	2040	
Steel Manuf.		
Tata Steel	2045	Large - Difficult to quantify as some technologies are still under development
JSW Steel	2050	
SAIL	2070	
JSPL	2035	
Imp Pvt Players		
RIL	2035	\$10.1 billion
Aditya Birla Group	2050	
Adani Transmission	2050	
M&M Group	2040	

Source: CARE Ratings & disclosure by companies

To achieve these tight ambitious timelines Indian issuers and corporates will require financing from foreign investors for financing climate mitigation and adaptation.

India's corporate sector has experienced a decline in its Debt-to-Equity ratio, dropping from nearly 1.0x in FY15 to below 0.5x in FY24. This lower leverage positions the sector well to foster growth through investments and increased capacity. As a result, companies are likely to feel more confident in taking on debt to finance private capital expenditures for potential expansion.

With IFSCA mandating that issuers obtain at least one credit rating from credit rating agencies registered with IFSCA for their debt securities to be listed on international exchanges at GIFT IFSC from 1st April 2025, this presents a significant opportunity for Indian corporates and issuers to secure global ratings through GIFT IFSC, benefiting from its integration with international financial markets. By obtaining ratings from CRAs operating within GIFT IFSC, Indian entities can access global capital more effectively, as these ratings are internationally recognized, thereby facilitating cross-border transactions and investments. This setup also allows issuers to seek additional ratings from globally recognized agencies, further enhancing their credibility in the global financial landscape.

And with the impending Rate cuts globally, it is only going to make raising foreign currency debt *via* GIFT IFSC as the most viable option.

CONCLUSION

To summarise, the Listing Regulations at GIFT IFSC can play a pivotal role in transforming and fast-tracking the growth and development of Indian companies and start-ups looking to attract global capital. Since massive amount of global capital is necessary to fuel India's growth trajectory in the coming decades, these Listing Regulations have the potential to play an instrumental role in attracting untapped foreign capital into India.

Moreover, in light of the unique benefits and advantages that GIFT IFSC offers, the Indian financial landscape is poised for a transformative shift with the advent of direct listing of Indian companies in GIFT IFSC. This development not only represents a strategic milestone for India's capital markets but also signals the country's growing ambition to integrate more deeply into the global financial system. □